

Spring 2010 MiDTerm MGT402 s2 solved 3 - Shared by Asad Munir

MIDTERM EXAMINATION

Spring 2010

MGT402- Cost & Management Accounting (Session - 2)

Shared by Asad Munir

<http://groups.google.com/group/vuZs> (<http://groups.google.com/group/vuZs>).

Time: 60 min

M - 47

Question No: 1 (M - 1) . (<http://www.vuzs.info>)

Which of the following product cost is Included in prime cost and conversion cost?

- ▶ Direct labor
- ▶ Manufacturing overhead
- ▶ Direct material
- ▶ Work in Process

Question No: 2 (M - 1) . (<http://www.vuzs.info>)

Over which of the following is the manager of the Profit center likely to have control?

- I. Selling process
 - II. Controllable costs
 - III. Apportioned head office costs
 - IV. Capital investment in the center
- ▶ I, II and III
 - ▶ I, II and IV
 - ▶ I and II
 - ▶ I, II, III and IV

Question No: 3 (M - 1) . (<http://www.vuzs.info>)

Machine lubricant used on processing equipment in a manufacturing plant would be classified as a:

- ▶ Period cost (manufacturing overhead)
- ▶ Period cost (Selling, General & Admin)
- ▶ Product cost (manufacturing overhead)
- ▶ Product cost (Selling, General & Admin)

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Question No: 4 (M - 1) . (<http://www.vuzs.info>)

Which of the following costs would **NOT** be a period cost?

- ▶ Indirect materials
- ▶ Administrative salaries
- ▶ Advertising costs
- ▶ Selling costs

Question No: 5 (M - 1) . (<http://www.vuzs.info>)

Which of the following is **CORRECT** to calculate cost of goods manufactured?

- ▶ Direct labor costs plus total manufacturing costs
- ▶ The beginning work in process inventory plus total manufacturing costs and subtract the ending work in process inventory
- ▶ Beginning raw materials inventory plus direct labor plus factory overhead
- ▶ Conversion costs and work in process inventory adjustments results in cost of goods manufactured

Question No: 6 (M - 1) . (<http://www.vuzs.info>)

While calculating the EOQ, carrying cost is taken as the:

- ▶ %age of unit cost
- ▶ %age of ordering cost
- ▶ %age of annual required units
- ▶ Total unit cost

Question No: 7 (M - 1) . (<http://www.vuzs.info>)

If, Wage rate Rs. 100/hr

Working hours 8 hours

Shift allowance Rs. 500

Total pay will be:

- ▶ Rs. 800
- ▶ Rs. 500
- ▶ Rs. 1,300
- ▶ Rs. 300

Question No: 8 (M - 1) . (<http://www.vuzs.info>)

All of the following are avoidable causes of labor turnover **EXCEPT**:

- ▶ Personal betterment of worker
- ▶ Dissatisfaction with job
- ▶ Bad working conditions
- ▶ Long and odd working hours

Question No: 9 (M - 1) . (<http://www.vuzs.info>)

The term cost allocation is described as:

- ▶ The costs that can be identified with specific cost centers.
- ▶ The costs that can not be identified with specific cost centers.
- ▶ The total cost of factory overhead needs to be distributed among specific cost centers.
- ▶ None of the given options

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Question No: 10 (M - 1) . (<http://www.vuzs.info>)

Over applied FOH will always result when a predetermined FOH rate is applied and:

- ▶ Production is greater than defined capacity
- ▶ Actual overhead costs are less than budgeted
- ▶ Budgeted capacity is less than normal capacity
- ▶ Actual overhead incurred is less than applied Overhead

Question No: 11 (M - 1) . (<http://www.vuzs.info>)

Capacity Variance / Volume Variance arises due to

- ▶ Difference between Absorbed factory overhead and budgeted factory for capacity attained
- ▶ Difference between Absorbed factory overhead and absorption rate
- ▶ Difference between Budgeted factory overhead for capacity attained and FOH actually incurred
- ▶ None of the given options

Question No: 12 (M - 1) . (<http://www.vuzs.info>)

The difference over the period of time between actual and applied FOH will usually be minimal when the predetermined overhead rate is based on:

- ▶ Normal capacity
- ▶ Designed capacity
- ▶ Direct Labor hours
- ▶ Machine hours

Question No: 13 (M - 1) . (<http://www.vuzs.info>)

The cost that is subject to actual payment or will be paid for in future is called:

- ▶ Fixed cost
- ▶ Step cost
- ▶ Explicit cost
- ▶ Imputed cost

Question No: 14 (M - 1) . (<http://www.vuzs.info>)

Under perpetual Inventory system the Inventory is treated as:

- ▶ Assets
- ▶ Liability
- ▶ Income
- ▶ Expense

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Question No: 15 (M - 1) . (<http://www.vuzs.info>)

During the year 60,000 units put in to process. 55,000 units were completed. Closing WIP were 25,000 units, 40% completed. How much the equivalent units of output would be produced?

- ▶ 25,000 units
- ▶ 10,000 units
- ▶ 65,000 units
- ▶ 80,000 units

Question No: 16 (M - 1) . (<http://www.vuzs.info>)

The components of total factory cost are:

- ▶ Direct Material + Direct Labor
- ▶ Direct Labor + FOH
- ▶ Prime Cost only
- ▶ Prime Cost + FOH

Question No: 17 (M - 1) . (<http://www.vuzs.info>)

The FIFO inventory costing method (when using a perpetual inventory system) assumes that the cost of the earliest units purchased is allocated in which of the following ways?

- ▶ First to be allocated to the ending inventory
- ▶ Last to be allocated to the cost of goods sold
- ▶ Last to be allocated to the ending inventory
- ▶ First to be allocated to the cost of good sold

Question No: 18 (M - 1) . (<http://www.vuzs.info>)

Depreciation based on the number of units produced would be classified as:

- ▶ Out of pocket cost
- ▶ Differential cost
- ▶ Variable cost
- ▶ Fixed cost

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Question No: 19 (M - 1) . (<http://www.vuzs.info>)

You are required to calculate number of units sold of ABC Fans Company for the first quarter of the year with the help of given information.

Inventory opening	
Finished goods (100 fans)	Rs. 43000
Direct material	Rs. 268000
Inventory closing	
Finished goods (200 fans)	Not known
Direct material	Rs. 167000

No of units manufactured	567 units
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- ▶ 300 units
- ▶ 767 units
- ▶ 467 units
- ▶ 667 units

Question No: 20 (M - 1) . (<http://www.vuzs.info>)

Cost of material consumed under LIFO costing method is Rs. 6,000. Conversion Cost is Rs. 16,500. 1,000 units of the product were manufactured out of which 800 @ Rs. 30 units sold. There were no beginning and ending inventories of work in process and finished goods.

Required: Calculate per unit cost with the help of given information.

- ▶ Rs. 22.50
- ▶ Rs.16.50
- ▶ Rs. 6.00
- ▶ Rs. 28.13

Question No: 21 (M - 1) . (<http://www.vuzs.info>)

Who issues the Material Requisition form?

- ▶ Store incharge
- ▶ Work station incharge
- ▶ Supplier
- ▶ Manager

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Question No: 22 (M - 1) . (<http://www.vuzs.info>)

Which of the following functions are fulfilled by Goods Received Note?

- i. Provides information to update the inventory records on receipt of goods
- ii. Provides information to check the quantity on the supplier's invoice
- iii. Provides information to check the price on the supplier's invoice

- ▶ (i) only
- ▶ (i) and (ii) only
- ▶ (i) and (iii) only
- ▶ (ii) and (iii) only

Question No: 23 (M - 1) . (<http://www.vuzs.info>)

Inventory of Rs. 96,000 was purchased during the year. The cost of goods sold was Rs. 90,000 and the ending inventory was Rs. 18,000. What was the inventory turnover ratio for the year?

- ▶ 5.0 times
- ▶ 5.3 times
- ▶ 6.0 times
- ▶ 6.4 times

Question No: 24 (M - 1) . (<http://www.vuzs.info>)

Calculate total salary received with the given data.

Salary	Rs.5000
Per Piece commission	10 % per piece
Unit sold	700 pieces
Price per piece	Rs. 10

- ▶ Rs. 5,100
- ▶ Rs. 5,000
- ▶ Rs. 5,600

► Rs. 5,700

Question No: 25 (M - 1) . (<http://www.vuzs.info>)

Which of the given statement is **CORRECT** for Indirect Labor?

- It is charged to factory over head account
- It is charged to work in process
- It is entire production
- It is charged to administrative expenses

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Question No: 26 (M - 1) . (<http://www.vuzs.info>)

A production worker paid salary of Rs. 700 per month plus an extra Rs. 5 for each unit produced during the month. This labor cost is best described as:

- A fixed cost
- A variable cost
- A semi variable cost
- A step fixed cost

Question No: 27 (M - 1) . (<http://www.vuzs.info>)

If absorbed factory overhead is Rs.155,000 and Budgeted factory overhead for actual volume is Rs. 110,000 then difference of both will be:

- Unfavorable Spending variance of Rs. 45,000
- Favorable Spending variance of Rs. 45,000
- Favorable Volume variance of Rs. 45,000
- Favorable Budget variance of Rs. 45,000

Question No: 28 (M - 1) . (<http://www.vuzs.info>)

In case of process costing, the output of existing department will be considered as _____ for subsequent department.

- Finished product
- Raw material
- Purchases
- Inventory

Question No: 29 (M - 1) . (<http://www.vuzs.info>)

With reference to cost of production report, which of the following is **NOT** included in Quantity Schedule?

- Unit put into process
- Equivalent units produced
- Units transferred out to subsequent department
- Units reconceived from preceding department

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Question No: 30 (M - 1) . (<http://www.vuzs.info>)

Which of the given cost is **NOT** required to prepare Cost of Production Report?

- Period cost
- Material cost
- Labour cost
- Factory overhead cost

Question No: 31 (M - 1) . (<http://www.vuzs.info>)

Which of the given is **CORRECT** for accounting entry of closing balance of Work In Process (WIP)?

- ▶ WIP a/c Dr and Inventory a/c Cr
- ▶ Inventory a/c Dr and WIP a/c Cr
- ▶ WIP a/c Dr and payroll a/c Cr
- ▶ There is no accounting entry for closing balance of WIP

Question No: 32 (M - 1) . (<http://www.vuzs.info>)

Accounting entry of closing balance can be recorded for:

- ▶ Income a/c and Expenses a/c
- ▶ Liability a/c and Owner's equity a/c
- ▶ Asset a/c and Liability a/c
- ▶ Liability a/c and Expenses a/c

Question No: 33 (M - 1) . (<http://www.vuzs.info>)

Identify units transferred out with the help of given data:

	Units
Units still in process (100%material, 75% conversion)	4,000
Lost units	2,000
Units started in process	50,000

- ▶ 6,000 units
- ▶ 44,000 units
- ▶ 52,000 units
- ▶ 56,000 units

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Question No: 34 (M - 1) . (<http://www.vuzs.info>)

You are required to identify how many good units were outputs from the process.

	Units
Units put in process	4,000
Lost units	500
Units in process	200

- ▶ 3,300 units
- ▶ 4,000 units
- ▶ 4,200 units
- ▶ 4,500 units

Question No: 35 (M - 3)

Write a short note on Equivalent Production.

Equivalent Production is a very important part of cost of production report. We prepare it in process costing system. It is the number of partially completed units considered to be equivalent to a greater number of fully completed units. This is used to calculate per unit cost.

Question No: 36 (M - 5)

Started in process, 9,200 units, Completed and on hand, 700 units, in process at end of period, 1,000 units, complete as to materials and labor & factory overhead 4/10. Transferred 7,500 units to next department

Required: Compute the Quantity schedule and equivalent production units.

Quantity Schedule:

Units Put into Process:		<u>9200</u>
Transferred to Next Department:	7500	
Completed but in hand	700	
Units still in process	1000	
		9200

Calculation of Equivalent Units Produced:

(100% of completed units + % of units in process)

Direct Material: $7500 + 700 + (1000 \times 100\%) = 9200$

Labor & FOH : $7500 + 700 + (1000 \times 4/10) = 8600$

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Question No: 37 (M - 5)

Calculate pre-determined factory overhead rate based on:

- iv. Units of output
- v. Direct labour hours
- vi. Direct labour cost
- vii. Direct material
- viii. Prime cost

The necessary data are as follows:

Budgeted over head:	
Fixed	Rs. 100,000
Variable	Rs. 250,000
Total	Rs. 350,000
Budgeted material cost	Rs. 150,000
Budgeted labour cost	Rs. 275,000
Budgeted direct labour hours	150,000
Budgeted machine hours	60,000
Budgeted units of output	150,000

i. Units of output

Budgeted Overhead / Budgeted Units of Output

$$350,000 / 150,000 = 2.3333$$

ii. Direct labour hours

Budgeted Overhead / Budgeted Direct Labour Hours

$$350,000 / 150,000 = 2.3333$$

iii. Direct labour cost

Budgeted Overhead / Budgeted Direct Labour Cost

$$350,000 / 275,000 = 1.2727$$

iv. Direct material

Budgeted Overhead / Budgeted Direct Material Cost

$$350,000 / 150,000 = 2.3333$$

v. Prime cost

Budgeted Overhead / Budgeted Prime Cost

$$350,000 / (150,000 + 275,000) = 0.8235$$